The 6:15

THURSDAY · OCTOBER 8, 2026 NO. 24

THE BOARD

CALENDAR · NEXT 10 DAYS

Sat 10/10	Northwestern hosts Ball State, Homecoming, Ryan Field (NU -34.5; Wildcats 3-1 vs. Ball State 1-4)
Tue 10/13	JPMorgan Chase, Wells Fargo report Q3 before the open (per Nasdaq/aggregator calendars) **(dates not individually confirmed against bank IR sites this run)**
Tue 10/14, 8:30a ET	September CPI (BLS) **(no consensus located this run)**
Wed 10/15, 8:30a ET	September PPI; advance retail sales
Oct 12-16	~48 companies report earnings (Nasdaq calendar), including the big banks; most not individually verified this run **(flag)**

Standing: FOMC meets Oct. 27-28 — hike odds steady at a cycle-low ~17% (Kalshi/Polymarket aggregate, last read Oct. 4) [continuity]. Funding runs on the Dec. 11 CR, no shutdown risk [continuity]. US-China truce to Jan. 10 unchanged [continuity]. No new frontier-AI release, rocket launch, or VC mega-round verified this run — third issue running, skipped rather than padded.

METRICS · ET UNLESS NOTED

Brent / WTI / spread	$104.25 / $91.69, spread ~$12.6, single feed 08:47 UTC **(straits.live; no ICE/NYMEX settle located this run)**; Wed. levels diverged by source, Brent $100.95-101.65, WTI $88.94-90.38
2y / 10y / 30y	~4.77-4.80% / ~5.28% close (intraday >5.35%, highest since 2002) / ~5.67-5.70% **(Treasury-aggregator sources, not cross-checked vs. treasury.gov this run)**
DXY / VIX	Not confirmed this run **(flag)**
S&P / Dow / Nasdaq	Wed. close: S&P 7,801.77 (-0.2%), Dow -0.7%, Nasdaq 27,538.69 (-0.2%), Russell 2000 -1.3% — a day after Tue.'s records (S&P 7,818.95, Dow

	51,521.04, Nasdaq 27,599.79) **(no overnight futures quote located this run)**
Gold	~$4,140-4,160/oz as of Mon. **(not confirmed Wed./Thu.)**
Asia / Europe	Nikkei +1.05% to 70,683.98; Hang Seng +1.00% to 24,280.56; Shanghai 3,842.19, as of Tue. close **(not confirmed Wed./Thu.; Europe not verified this run)**
Retail gas (AAA)	$4.41/gal as of Oct. 1 **(lagged one week; no fresher read located)**

Equity levels above are Wednesday's cash close, not this morning's futures — no overnight S&P/Nasdaq futures quote was located as of ~6:15-6:25a ET.

HORMUZ COUNTERS

Transits	4 on Oct. 4 vs. 85/day pre-crisis baseline (IMF PortWatch via straits.live) **(lagged four days; up from 1 on Sept. 27 reported last issue)** [DEVELOPING]
Vessels holding	147 AIS-visible, 08:50 UTC today (straits.live) — within the 89-285 noise range noted previously
Dark tankers / war-risk premia	Not reported this run **(last known: 148 of 291 screened; ~$10.0M per VLCC, both Oct. 6)**
Strikes, 24h / latest	No discrete strike count this run; straits.live cites "53 events indexed," an undefined metric **(flag)**. Confirmed: Panama-flagged tanker *On Peace* struck off Musandam Oct. 6, engine-room fire; crew-injury count disputed, Oman says 10 evacuated vs. India says 12 injured (11 Indian nationals) [NEW, fact/flag]
Crisis Pressure / Escalation Forecast	"Extreme," flat 24h / "high," rising 24h — upgraded from "elevated" in issue No. 23 **(straits.live, single-sourced)** [DEVELOPING]

Transit counts (PortWatch, lagged), AIS holding counts (same-day, volatile) and war-risk premia (periodic insurance-market reporting) measure different things over different windows and vendors; never averaged or differenced here.

TRANSACTIONS

Yankees	Swept 0-3; lost Gm 3, 4-3, at home Wed. on a go-ahead HR and an overturned fan-interference call. Season over.

Knicks	Home preseason opener vs. Washington tonight, MSG — not yet played as of writing
Northwestern	Hosts Ball State Sat. (Homecoming) — not yet played as of writing

LEAD

RATES — TERM PREMIUM, NOT THE FED, SENDS LONG YIELDS TO A 24-YEAR HIGH; OIL SNAPS BACK ABOVE $100 ON A NEW GULF FRONT

The 10-year touched its highest level since 2002 Wednesday even as Fed hike odds sit exactly where they did last week — a supply story, not a rate-expectations one — while Houthi strikes on Saudi airports open a second Gulf conflict front and send crude back through $100

Treasury yields pushed to multi-decade highs Wednesday: the 10-year climbed above 5.35% intraday, its highest level since 2002, before closing near 5.28%; the 30-year touched roughly 5.70% intraday. [fact] The 2-year held near 4.77-4.80%, leaving the 10-year/2-year spread at about 0.51 percentage points, up slightly from 0.48 the prior session. [fact] The move had an immediate transmission into household borrowing costs: the average 30-year fixed mortgage rate jumped to roughly 7.49% from 7.30%. [fact] These are aggregator-sourced levels, not cross-checked directly against Treasury's own daily par-yield table this run. [flag]

What makes this move notable is what it is not: a repricing of the Fed. Hike odds for the Oct. 27-28 FOMC meeting have sat at a cycle-low ~17% since Oct. 4 and were unchanged again this week — the collapse this brief reported Tuesday, driven by the September payrolls miss, has simply held. [continuity] Instead, the long end is moving on what analysts broadly characterize as a term-premium

story: persistent fiscal deficits and heavy Treasury issuance raising the compensation investors demand for duration risk, compounded by waning demand from traditional buyers (banks, foreign official accounts) and rising competition from corporate and hyperscaler bond issuance for the same pool of capital. [read] That is a structural, multi-month dynamic rather than a single-day data reaction, and it means short-end policy expectations and long-end yields are now moving on different logic — a split investors have not had to price since before this cycle's hiking campaign began.

Equities read the move as a cost-of-capital shock rather than a growth signal. The S&P 500 and Nasdaq Composite had both set fresh records Tuesday (S&P 7,818.95, Dow 51,521.04, Nasdaq 27,599.79) before retreating Wednesday — S&P -0.2% to 7,801.77, Dow -0.7%, Nasdaq -0.2% to 27,538.69 — with the Russell 2000 underperforming at -1.3%, consistent with smaller, more rate-sensitive names bearing the brunt of a higher discount rate. [fact]

Oil, meanwhile, reversed the decoupling this brief flagged Tuesday. Brent and WTI had been falling on resilient Middle East export flows and the G7's emergency reserve release even as Hormuz tanker strikes intensified; that pattern broke this week. A single live feed (straits.live, 08:47 UTC) shows Brent at $104.25 (+2.74% in 24 hours) and WTI at $91.69 this morning, with Wednesday's close itself disputed across trackers in the $100.95-101.65 (Brent) and $88.94-90.38 (WTI) range. [fact/flag] The proximate driver is not the Strait of Hormuz but a second, geographically distinct front: Houthi missile strikes on Saudi Arabia's Abha and Riyadh King Khalid airports killed three people Wednesday, the latest escalation in a campaign that has also hit Aramco energy infrastructure near Riyadh and at Yanbu since late September. [NEW, fact] A Gulf storm

system threatening US refining capacity added a second, unrelated bid to the complex. [fact] Together they mean two separate Iran-aligned pressure campaigns — the Hormuz blockade and the Houthi air campaign on Saudi soil — are now both live and are being priced as compounding, not offsetting, risks.

Stakes: Oct. 14 CPI is the next data point that could either validate the term-premium read (inflation contained, yields still high mean real rates rose, a tightening-financial-conditions story) or reopen the Fed-expectations channel if inflation surprises hot. Separately, watch whether the Houthi-Saudi exchange keeps escalating into the kind of infrastructure hit that moves physical supply, not just sentiment — and whether straits.live's Escalation Forecast, now reading "high" and rising for the first time since this brief began tracking it, is an early read on the Hormuz side responding in kind.

ECONOMICS

September CPI (Tue. 10/14, 8:30a ET) and PPI (Wed. 10/15) are now the load-bearing prints for a different question than two weeks ago: not whether the Fed hikes Oct. 28 (odds have been anchored near 17% since Oct. 4), but whether inflation data validates or undercuts the term-premium explanation for this week's Treasury selloff (see Lead). [continuity/read] No consensus for either release was located this run. [flag] The most direct, verifiable economic transmission so far is in housing: the average 30-year fixed mortgage rate rose to roughly 7.49% from 7.30% as the long end sold off Wednesday — a level that, if it holds into the CPI print, will show up in October's purchase-application and homebuilder-sentiment data before it shows up in CPI itself. [fact]

BUSINESS

PepsiCo reported fiscal Q3 2026 results this morning (12 weeks ended Sept. 5): core EPS of $2.34, up 2% y/y and above the ~$2.30 consensus; net revenue of $25,274 million, up 5.6% and above the roughly $24.99 billion consensus, on organic revenue growth of 3.1%. [NEW, fact, primary source: 8-K exhibit] GAAP diluted EPS was $2.23, up 17% y/y; core operating margin fell 35 basis points to 16.9%, aided by a 4-point favorable tariff-refund impact. [fact] The beat came with a meaningful guidance cut: full-year core constant-currency EPS growth was reset to +1-2% from the prior "low end of +4-6%," and core EPS growth to +2.5-3.5% from "low end of +5-7%," while full-year net revenue growth guidance was raised slightly to ~6% from +4-6%. [fact] CEO Ramon Laguarta said the company is "acting with urgency" on North America performance, with additional structural cost cuts coming; North America convenient foods showed sequential improvement on savory-snacks volume but continued pricing pressure, while international segments grew broadly. [fact] The next earnings cluster, Oct. 12-16, includes JPMorgan and Wells Fargo on Oct. 13, per aggregator calendars; individually unverified against bank IR pages this run. [flag]

GEOPOLITICS

Houthi missile strikes on two Saudi airports — Abha and Riyadh's King Khalid International — killed three people Wednesday, including two foreign nationals at Abha, and wounded at least 28; Saudi forces said they destroyed the ballistic-missile launcher used in the Riyadh attack and warned another strike is being prepared. [NEW, fact] The attacks follow Houthi strikes claimed on Aramco energy infrastructure near Riyadh (Oct. 3) and a Saudi-led coalition report of a Houthi attack on a power station in Medina (Oct. 4), and an earlier claimed strike on Aramco facilities at the Red Sea port of Yanbu in late September. [fact] The campaign has intensified since a fragile 2022 Saudi-Houthi truce broke down in July, when the Houthis also declared a blockade of Saudi shipping in the Bab-el-Mandeb; Pakistan has confirmed it now has troops stationed in Saudi Arabia amid the escalation. [fact] The Institute for the Study of War assesses the Houthi campaign is deliberately targeting civilian and economic infrastructure to maximize Saudi costs; Saudi authorities have disputed some Houthi damage claims as "misleading" without detailing which. [read/flag] This is a geographically distinct theater from the Strait of Hormuz blockade below, though both trace to the same Iran-aligned axis and are now feeding the same oil-risk premium (see Lead).

IRAN & HORMUZ

The Panama-flagged tanker *On Peace*, carrying 19 crew including 17 Indian nationals, was struck by an unidentified projectile roughly 9 nautical miles off Musandam, Oman, on Oct. 6, touching off a fire; Omani forces flew the injured to Khasab Hospital. [NEW, fact]

Crew-injury counts diverge by source: Oman's air force says 10 were evacuated, India's foreign ministry says 12 were injured, 11 of them Indian — a discrepancy this brief is reporting side by side rather than resolving. [flag] No party has claimed responsibility. [flag] It is the latest in what straits.live's own chronology calls the most intense attack week of the war (Sept. 28-Oct. 5), continuing the pattern of four-plus tankers struck that issue No. 23 already flagged. [continuity]

Diplomatically, Iran's interior minister met Qatar's emir in Doha Monday and called the talks "constructive"; Qatar's foreign ministry separately confirmed message exchanges between Washington and Tehran are continuing through Qatar and regional partners, but no deal has been announced and the core dispute — Tehran seeking permanent control over Hormuz traffic versus Washington's demand that the strait revert to unrestricted international waters — remains unresolved. [continuity] No outcome from the New York round flagged in issue No. 23 has been confirmed. [flag]

On the counters: IMF PortWatch's transit count, via straits.live, has moved for the first time in ten days — from 1 vessel on Sept. 27 to 4 on Oct. 4 — though the data is still four days stale and the move is too small to read as a trend against an 85/day baseline. [DEVELOPING, flag] AIS-visible vessels holding position stand at 147 (08:50 UTC today), inside the 89-285 range this brief has been treating as noise. Dark-tanker counts and war-risk premia were not refreshed by the feed this run. [flag] The more notable shift is qualitative: straits.live's Escalation Forecast moved from "elevated" to "high" and is rising over the past 24 hours, the first upgrade since this brief began tracking the index — a single-sourced, AI-assisted

score, but one now pointing the same direction as the Houthi-Saudi escalation above. [flag]

SPORTS

Yankees	Lost Gm 3, 4-3, to Rays at home Wed.; swept 0-3 in ALDS. Season over, 17-year title drought continues.
Knicks	Home preseason opener vs. Washington tonight, MSG — not yet played as of writing.
Northwestern	3-1 overall, 1-1 Big Ten; hosts Ball State (1-4) Sat., Homecoming, Ryan Field — not yet played as of writing.

Continuity. Cut this issue as having nothing new: Politics (no fresh reporting located beyond issue No. 23's generic-ballot item, which is now unmoved) and Technology (no frontier-AI release, rocket launch, or VC mega-round verified, third issue running). Russia-Ukraine was not refreshed this run and is omitted rather than re-run stale. Not refreshed: DXY, VIX, gold, and Asia/Europe closes beyond Tuesday's; dark-tanker counts and war-risk premia on the Hormuz board; overnight S&P/Nasdaq futures. Watch for next issue: Oct. 13 bank earnings; Oct. 14 CPI; whether the Houthi-Saudi exchange or Hormuz's upgraded "high" Escalation Forecast produces a concrete supply disruption; tonight's Knicks opener and Saturday's Northwestern game; any outcome from the Doha/New York Iran-Qatar-US channel.

Unverified figures are marked in red above. All straits.live Hormuz figures (transit lag, AIS count, Crisis Pressure/Escalation Forecast bands, the "53 events indexed" metric) are single-sourced; this morning's Brent/WTI quote is a single feed with no settle; Wednesday's own Brent/WTI close is disputed across trackers; Treasury yield levels are aggregator-sourced, not cross-checked against treasury.gov; gold and Asia/Europe levels are lagged to Monday/Tuesday; the On Peace crew-injury count is disputed between Omani and Indian sources and reported as such. Nothing was estimated or filled from memory.